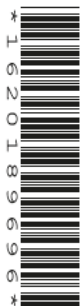


Cambridge International AS & A Level

ECONOMICS**9708/23**

Paper 2 AS Level Data Response and Essays

May/June 2026**2 hours**

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer **three** questions in total:
 - Section A: answer Question 1.
 - Section B: answer **one** question.
 - Section C: answer **one** question.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is 60.
- The number of marks for each question or part question is shown in brackets [].

This document has 4 pages.

Section A

Answer all parts of Question 1.

1 Exports of Chinese electric vehicles (EVs) continue to increase

In 2023, vehicle sales in China increased by 12% to a record 30.1 million units.

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There is also growing uncertainty about the US government's commitment to 'net zero', which is discouraging US consumers from switching to EVs.

Source: Adapted; from How China rules the global electric car market, Daily Telegraph, 24 April 2024

- (a) Use Table 1.1 to identify **two** changes in the global sales of EVs from 2020 to 2024. [2]
- (b) Give **two** possible reasons why the demand for Chinese EVs in the EU has increased at a higher rate than such sales in the US. [2]
- (c) With the help of a diagram, explain the effects of an export subsidy on the price and sales of imported Chinese EVs in the EU **and** consider an economic factor that could affect the size of any change. [4]
- (d) A German car manufacturer is concerned about losing sales of EVs in the EU market to imports of EVs from China.
- Assess the extent to which a knowledge of cross elasticity of demand (XED) might be of value to the German manufacturer when seeking to maintain sales in the EU market. [6]
- (e) Assess the impact of increased sales of Chinese EVs on the economy of a major EU car manufacturing country such as Germany. [6]

Section B

Answer **one** question.

Either

- 2 (a) Pomegranates are a 'superfood' that are becoming more popular because of their health benefits. Consequently, they sell for a higher price than most other fruit.
- Excluding price, explain **three** other possible determinants of demand for pomegranates **and** consider which of these determinants is likely to be most important in explaining an increasing demand for them. [8]
- (b) Assess the extent to which restricting the supply of pomegranates may benefit small producers. [12]

Or

- 3 (a) Explain, with examples, the difference between a public good and a private good **and** consider the extent to which public goods cannot be rejected by consumers. [8]
- (b) Assess whether increased government spending on either merit goods **or** public goods will always have a positive effect on the distribution of income in an economy. [12]

Section C

Answer **one** question.

Either

- 4 (a) With the help of a diagram(s), explain how increases in aggregate demand affect the level of real output and the price level in an economy **and** consider when such increases may become a problem. [8]
- (b) Assess whether increases in long-run aggregate supply (LRAS) are the best way of reducing unemployment. [12]

Or

- 5 (a) Explain how depreciation of a currency affects the terms of trade in an economy **and** consider why this depreciation is not always beneficial. [8]
- (b) Assess whether a deficit on the current account of the balance of payments of a country always results in negative consequences for consumers and for firms. [12]

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